Formula 1: Analysis

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The four analyses applied to each item are:

- **Descriptive:** what happened
- **Diagnostic:** why it happened
- **Predictive:** what might happen next
- **Prescriptive:** what should we do

Note: Facts are those I am confident in up to the 2025 season and the announced 2026 rules. Live 2026 race results were not checked, so verify current standings before submitting.

Item 1: Red Bull Racing's Dominance and Decline

What happened: Red Bull and Max Verstappen dominated 2022 and 2023, winning 2023 with 21 of 22 races. In 2024 their advantage shrank, and in 2025 McLaren overtook them in the constructors' standings.

Why it happened:

- The 2022 ground-effect rules rewarded Red Bull's aerodynamic design (led by Adrian Newey).
- Newey left for Aston Martin in 2025.
- Their car became hard to set up and unbalanced as rivals caught up.
- The team had internal management turmoil, including the departure of Christian Horner.

What might happen next:

- Verstappen stays competitive, but Red Bull is no longer a guaranteed winner.
- The new 2026 rules reset the field, and Red Bull's new Ford-backed in-house power unit is a big unknown.

What we should do:

- Invest in the new engine program and keep key engineers.
- Fix car predictability so drivers can extract the performance.
- Stabilize leadership so one person's departure doesn't hurt performance.

Item 2: McLaren's Rise to the Top

What happened: McLaren went from midfield in 2022 to winning the 2024 constructors' title, then the 2025 constructors' title, and Lando Norris won the 2025 drivers' championship.

Why it happened:

- They rebuilt their wind tunnel and development process.
- Technical hires such as Rob Marshall and Peter Prodromou strengthened the design team.
- The Mercedes engine gave a good power base.
- Two strong, evenly matched drivers (Norris and Piastri) scored consistently.

What might happen next:

- They stay a top team, but the 2026 regulation reset makes repeating success uncertain.
- Internal rivalry between the two drivers could become a problem.

What we should do:

- Keep the same development culture and process into the new rules.
- Manage team orders and driver fairness clearly before the title fight heats up.
- Avoid complacency by starting 2026 car development early.

Item 3: Ferrari's Underperformance

What happened: Ferrari, one of the biggest teams, has not won a drivers' title since 2007 and a constructors' title since 2008. It won races in 2024 but fell short again in 2025.

Why it happened:

- Strategy errors and slow in-race decisions cost points.
- Pit-stop and operational mistakes happened at critical moments.
- Car development often faded during the season.
- Constant management changes and heavy pressure from fans and media added instability.

What might happen next:

- With Lewis Hamilton now driving for them, expectations are very high.
- Without better execution, they risk another season of "fast but unlucky or inconsistent."

What we should do:

- Improve strategy tools and give the pit wall clearer authority.
- Focus on consistent in-season development rather than early-season peaks.
- Build a stable technical and management structure and protect it from outside pressure.

Item 4: The Cost Cap (Budget Cap)

What happened: F1 introduced a spending limit (about $135 million at first, adjusted for inflation) starting in 2021. Red Bull was penalized for a minor overspend in 2021, and Aston Martin was fined for a procedural breach.

Why it happened:

- Rich teams were outspending smaller ones, making competition unfair.
- Teams had to find ways to cut costs while staying competitive.
- Accounting rules are complex, and teams interpret them differently.

What might happen next:

- Competition becomes closer, because rich teams can no longer simply outspend others.
- Disputes over what counts toward the cap will continue, and rules may get stricter.

What we should do:

- Keep audits transparent and penalties consistent.
- Clarify which spending counts, to reduce arguments.
- Teams should invest in efficiency (smart development) instead of trying to bend the rules.

Item 5: The 2026 Regulation Reset

What happened: F1 introduced major new rules for 2026, including smaller and lighter cars, active aerodynamics, and new power units with a roughly 50/50 split between combustion and electric power, running on sustainable fuel. New manufacturers (Audi and Ford with Red Bull) and a new team (Cadillac) joined.

Why it happened:

- F1 wants to be more sustainable and appealing to car manufacturers.
- Cars had become too big and heavy, and racing needed to be closer.
- New manufacturers wanted rules that matched road-car technology.

What might happen next:

- The competitive order could be shuffled, and early-season gaps may be large.
- Complaints about energy management (drivers saving battery) and car behavior are likely.
- Reliability problems for new engine makers are probable.

What we should do:

- Teams should invest heavily in simulation and power unit reliability.
- F1 should monitor racing quality and adjust rules quickly if racing suffers.
- Fans and media should be given clear explanations of the new technology.

Summary Table

Item	What happened	Why	What next	What to do
Red Bull	Dominated, then declined	Rules fit, Newey left, turmoil	Uncertain under new rules	Fix car, keep talent
McLaren	Rose to champion	Better process, strong drivers	Strong but challenged	Manage drivers, keep developing
Ferrari	No titles for years	Strategy and execution errors	Hamilton raises pressure	Fix decisions and stability
Cost cap	Spending limits and penalties	Fairness and cost control	Closer competition, disputes	Clearer rules, transparent audits
2026 rules	Major technical reset	Sustainability, closer racing	Shuffled grid, reliability issues	Invest in simulation, monitor racing

Tips for Submission

- Present each item with the four headings so the structure is clear.
- Add one number per item (for example, 21 of 22 wins in 2023) to make it credible.
- For 2026 items, mention the date you gathered data, since the season is ongoing.